

ArcelorMittal Nippon Steel India Ltd.(AMNSIL) (Formerly known as Essar Steel India Limited)

E-Procurement Process/Notice Inviting Tenders Procurement Division , Pune Works

Annexure-III

TENDER NOTICE & GENERAL TERMS AND CONDITIONS (GTC)

Arcelor Mittal Nippon Steel India Limited (AMNSIL) (herein after referred as AMNSIL/Buyer/Purchaser/Engager/Employer) having operational works at Pune, Surat is in open market for availing services as per this tender.

Only the service providers / bidders engaged in this field should submit their bids. AMNSIL reserves the right to outsource the part/full service from any / all service providers.

The essential criteria for bidders who are seeking appointment as Service Provider under present tender for services to be done for AMNSIL are as under: -

EXECUTION:

The services required to be performed and provided as per the requirements of AMNSIL and to the entire satisfaction of AMNSIL. The order / agreement shall be governed by these terms and conditions and those mentioned in "Annexure II" which includes the broad scope of work / services and conditions. All other terms and conditions shall be as per the work order issued to winner.

PRICE BASIS FOR TENDER:

A firm price for providing services as per requirements given at any time during a period of 12 months with effect from the date of work order. However, there should be a provision for further extension of this period by a period of 2 more months beyond the date of order. The quoted rates should be effective and valid during this period.

There will not be any escalation clause for the contract period during the 12-month lock in.

EXCLUSIONS:

If the Tenderer cannot tender for any part(s) of the work as defined in the tender documents they must inform the Employer as soon as possible, defining the relevant part(s) and stating the reason(s) for their inability to tender.

ACCEPTANCE OF TENDER:

The Employer and his representatives:

- Offer no guarantee that the lowest or any tender will be recommended for acceptance or accepted;
- Will not be responsible for any cost incurred in the preparation of any tender.
- Tender submission shall be judged on both quality and price.
 1. Part A – The maximum quality score will be 60%.
 2. Part B – The maximum price score will be 40%.

TENDER RETURN DOCUMENTS

- **RETURNS:** The tender shall submit the following information in support of the tender;
- **FORM OF TENDER** fully completed and signed.
- Method Statement identifying as a minimum:
 - ✓ A clear description of how the contract would be undertaken
 - ✓ Indicate initial mobilization strategy.
 - ✓ Office localities and ability to respond
 - ✓ Management, interfacing and monitoring of visits and procedures
 - ✓ Procedures for quality control and reporting to the Client
 - ✓ Curriculum vitae of key personnel.
- Details of subcontractors and specialist subcontractors involved with the works.
- A hierarchy chart identifying as a minimum the Regional Manager / Highest authorized authority in region /country and Maintenance Manager responsible as a single point of contact for the works as well as details of support staff, locations, numbers, etc.

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- Details of their Health and Safety and COSHH Assessment Procedures, details of the Contractor's recent Safety Record, and a Health and Safety Plan for the work being tendered.
- Details of company quality assurance and control procedures and how quality control of the work will be undertaken, particularly of sub-contractors.
- Details of company standard training procedures.
- Provide documentary evidence of policies and insurances required by the Conditions of Contract.
- Details of previous experience of similar contracts.
- Copies / documentary evidence of the below are also to be submitted by vendors who have not done these jobs for AMNSIL in the past.
 - Certificate of Registration of the firm.
 - Latest GST Tax Registration Certificate.
 - Photocopies of the award letters issued by other organizations of reputed for the above jobs.
 - List of Customers along with the details of contact person, telephone number, fax number, complete correct address of the organization etc.
- Offers not accompanied by above details are liable for rejection.
- In the event of breach of statutory Laws & Regulations by Service Provider AMNSIL reserve the right to terminate the contract immediately and no payment shall become due and payable to Service Provider.
- Service Provider shall ensure that Service Provider/their representative will follow all rules and regulations and timings prevailing at our Pune Works plant as amended from time to time and obey all instructions as are issued by engineer in charge arising from their scope of work / exigencies of work.
- Service Provider shall ensure that their staff maintains maximum efficiency and decorum and discharge their duties in a manner commensurate with our culture. Under no circumstances indiscipline and inefficiency will be tolerated. In case it is found that their staff are indulging in misbehavior or indiscipline or theft or sleeping on duty or forgery or involving in any act; which in AMNSIL opinion, will cause disturbance, industrial relations problems, reduction of production/plant efficiency, indiscipline, immorality, loss or damage to the personnel/property/equipment's etc. belonging to AMNSIL business associates, then AMNSIL reserve the right to expel such person(s) of their staff without reference to Service Provider. Service Provider shall be advised of such an action and then Service Provider shall promptly replace such person(s) and ensure the work is not affected in any way. Under no circumstances their staff will be construed to be our employees directly or indirectly to which Service Provider agree.

MANDATORY REGULATION

- Service Provider shall comply with all statutory rules and regulations, including but not limited to Contract Labor (Regulation and Abolition) Act, Minimum Wages Act, Workmen's Compensation Act, Employees State Insurance Act, Personal Accident Insurance and any other Laws, Rules and Regulations etc., licenses like labor license etc., that may be applicable to this type of work and/or which are required to be obtained by contractors/sub-contractors as per labor/other statutory Laws. Service Provider shall indemnify and keep us indemnified against all such cost, including and not limited to taxes & duties damages, penalties, fines, punitive measures, lawyer fees, taxes, duties etc., of whatever nature due to non-compliance by Service Provider of all the applicable statutory laws, rules, regulations, notifications etc. which are included in their scope.
- Service Provider shall provide competent supervisor to supervise the total job and ensure that all the jobs are completed in time without any delays.
- Service Provider are required to provide supervisors cum coordinators who shall be responsible for execution of assignment allotted, taking care of statutory concessions, organizing uninterrupted jobs, handle labor relation & discipline at site, take care of accident cases. These supervisors cum coordinators shall be technically qualified & competent to effectively & efficiently carry out the aforesaid duties.
- Service Provider shall ensure that the personnel deputed at our site are duly trained and proficient in their job. Also, they must be properly screened and

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cleared by taking recourse to verification of their antecedents and meeting of stipulated requirements.

➤ Service Provider shall issue uniforms, safety shoes and other safety appliances and identity cards to their personnel and shall provide them with all statutory benefits and welfare measures that are required under law. Service Provider shall produce on demand evidence of such measures of benefits/measures which are supposed to give to their personnel. Service Provider shall maintain all records pertaining to their personnel. AMNSIL shall not be liable or responsible under any circumstances for injury or death of their personnel at site. Service Provider shall take suitable insurance cover for this and make us co-beneficiary of the policies. Service Provider undertake to pay all their personnel by 7th of every month. To ensure adequate performance as required for this agreement, Service Provider shall exercise adequate supervision and control. The supervisor to be deputed by Service Provider shall be authorized by Service Provider to take all decisions that are required to be taken at site arising out of the scope of work in the plant including industrial relations.

➤ Service Provider shall be responsible to maintain all the property, equipment's given to Service Provider for rendering the services in good order. Reasonable wear and tear shall be accepted. However, any loss or damage made to these due to reasons attributable to Service Provider shall be made good by Service Provider at their risk and cost or the cost for the same shall be recovered from their bills.

➤ Either party will claim on the other at any point of time any consequential damages including but not limited to loss of profit, loss of goodwill, etc.

➤ Deployment of persons below the age of 18 years and deployment of female workers is not to be done under any circumstances.

TAXES & DUTIES

➤ Bidders should indicate present rate of Taxes & duties applicable like GST etc in their offer and statutory variation to the same shall be to AMNSIL's account.

➤ Any taxes like GST etc. to be specified separately. Unless otherwise specified; all taxes, duties, levies, charges, etc. that may be applicable to this contract will be deemed to have been included in bidder's quote / offer. Income tax TDS / any other statutory levies in

force as applicable shall be deducted by AMNSIL from the bills of the contracted service provider and deposited to income tax/concerned government authorities. Necessary TDS certificates will be subsequently provided by AMNSIL's accounts department.

➤ For services provided in SEZ (Special Economic Zone), tax will not be applicable and should not be charged in the invoice / bill. Details of SEZ exemptions will be submitted to the successful bidders.

PAYMENT TERMS

➤ All payments will be regulated on the basis of rates agreed in the contract/Work Order with AMNSIL.

➤ Each invoice shall be supported by receipts for all statutory charges and third party invoices covering reimbursable amounts, if any, subject to these having been paid on behalf of AMNSIL. Internal documentation shall not be sufficient to support any amount which is a reimbursable item paid to third parties/statutory bodies/agencies.

➤ Apart from other required details, each invoice should show GST registration number and other details as required to enable AMNSIL to avail input tax credit- ITC

➤ Income tax and other source deductible levies will be adjusted from the running bills of bidder / service Provider.

➤ Subject to any deduction, which the company may be authorized to make under the contract, the successful bidder shall be entitled to payments generally as follows:

➤ All payments will be made only through 'RTGS / NEFT mode' only. In exceptional circumstances, payment will be released through Crossed Cheque marked A/c payee and sent through courier / Regd. Post. The bidder / service provider is required to submit the EFT form duly signed by bankers providing all the details in the prescribed format.

MEASUREMENT OF WORK

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- All work done by Service Provider shall be duly recorded and certified by our engineer/officer in-charge.
- Service Provider shall require maintaining all statutory records and logging sheets as required. Service Provider shall also prepare and submit fortnightly reports in duplicate on progress of their work in the format to be approved by us. One copy of the report will be given to the engineer in-charge and the second copy would be submitted to our commercial department. Service Provider should deploy their personnel in such a way that the program of the engineer in-charge.
- Bills not supported by duly certified measurement sheet/ certificate shall not be considered as work done and correspondingly shall not be considered for payment under the contract.

DEDUCTION FROM CONTRACT PRICE

- AMNSIL shall be entitled to recover from their bills all costs, damages, expenses which AMNSIL may have to incur or become liable to incur as a result of their negligence or any other action that may originate such cost, charges, expenses, etc. In case their bill amount is not sufficient to cover such recovery amount, the balance shall be deducted from any sum which may become due to Service Provider at any time thereafter under this or any other contract which Service Provider may have with us. Should this sum also not be sufficient to cover the full amount recoverable, then AMNSIL reserve our right to recover the same as per remedies available under law.

SPECIAL CONDITION:

- AMNSIL reserves the right to conduct price negotiation through "reverse Auction".
- For the purpose of distribution of order, AMNSIL reserves the right to negotiate with any vendor and parties will be asked to match L-1/negotiated L-1 price. The distribution of order can be made to more than 2 parties to cover the full requirement.
- Parties with limited supply experience and who had not provided services earlier to AMNSIL earlier can be considered initially for part of services only at the discretion of employer.
- Bidder / service Provider who had failed to execute AMNSIL's previous orders or have not settled AMNSIL's claims against risk and cost shall not be considered for future order under the present tender.

- However, AMNSIL reserves the right to cancel the tender without assigning any reasons for the same.

SCHEDULE AND QUANTUM

- The past quantum for previous periods is given as an indication of quantum of work.
- No definite quantum of work can be estimated. The actual requirements are subject to variations/adjustments depending on the production pattern of AMNSIL and volume of traffic.
- The past quantum indicated by AMNSIL / buyer or the quantum anticipated by bidder will not be a basis for any dispute with regard to the rates quoted by the bidder or for the alteration of Terms and Conditions.
- AMNSIL reserve full rights to reject all or any of the tenders or to accept tender either in full or a part of it or to split up the quantity without assigning any reasons. - The Bidder should be prepared to accept order for any quantity decided by AMNSIL.
- Bidder / service provider should indicate their capacity to provide service if any while submitting the bid.
- Based on actual schedule of AMNSIL, service provider shall have to regulate the services accordingly as requested by AMNSIL.

VALIDITY

- Bidder must specify the validity of the offer, failing which tender shall be assumed valid for acceptance till end of 90 days from the date of opening of the tender. Tender with lesser validity will be liable for rejection at the discretion of AMNSIL.

INDEMNITY & INSURANCE:

- The Bidder / service Provider shall indemnify and keep indemnified AMNSIL all losses, claims etc. arising out of any of his acts or out of the acts of his agents or associates or servants during the period of the contract.
- The Service Provider shall defend and hold the Purchaser harmless from all claims against injuries to, and / or damage to property, arising out of or by reason of the execution of the Scope of Services under the Agreement.

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➤ In any case where it is necessary for employees, agent or representatives of the Service provider to go upon the premises of the Purchaser or Vendor, the Service provider agrees to assume full responsibility for the proper conduct of such employees, agents or representatives while on said premises and also to comply with all applicable workmen's compensation laws, with all relevant requirement of any statute, statutory rule of order, or other instrument having the force of law, and with all Site rules and regulations, particularly in regards to safety precautions and fire hazard. Under no circumstances shall the Purchaser and / or Vendor be legally and/or commercially responsible(including but not limited to)for and accidents, injury, loss of life etc. The Bidder / Service Provider alone shall be liable for all such eventuality and the Service provider shall be responsible to ensure due observance of all laws, rules, regulations etc.

➤ AMNSIL shall arrange for insuring the project materials/properties of AMNSIL covering the risks during transit and material handling at port(s).

➤ The Bidder / service Provider shall during the performance of the contract take a suitable insurance to cover against bodily injury, death or damage to property of the Bidder / service Provider or his employees.

➤ The Bidder / service Provider shall during the performance of the contract take out a Third Party insurance cover against bodily injury or death suffered by any third party/parties or damage to property occurring during the course of execution of this contract in accordance with appropriate statutory requirements.

➤ If due to Bidder / service Provider 's carelessness, negligence, non-observance of safety precautions, improper security arrangements or due to non-compliance of paper work needed for lodging insurance claim, damage to AMNSIL/its Customer's property, and if AMNSIL is unable to recover its claim from the Insurance Company, the deficit will be recovered from the Bidder / service Provider .

➤ The bidder / service provider shall comply with all statutory rules, regulations and laws in existence and framed / amended / modified from time to time by Government (Central or State) or the local authority and

legislations governing workforce / personnel required for the work referred to above.

➤ The responsibility to comply with the provisions of various labour laws of the country shall be that of the Service Provider. All the drivers and staff shall be engaged by the Bidder/Service Provider as his own employees/workmen in all respects implied or expressed. It will be compulsory on the part of the Bidder/Service Provider to insure all his employees, permanent or temporary, against liabilities of accident, partial or full disability, death etc. He should, among others, comply with the following Laws/Acts and their re-enactments/ amendments/ modifications: -

- The Payment of Wages Act, 1936.
- The Factory Act, 1948.
- The Workmen's Compensation Act, 1923.
- The Employees Provident Fund Act, 1952.
- The Contract Labour (Regulation and Abolition) Act, 1970; Rules 1971.
- The Payment of Bonus Act, 1965.
- The Payment of Gratuity Act, 1972.
- The Equal Remuneration Act, 1976.
- The Employees State Insurance Act, 1948.
- The Maharashtra Mathadi Hamal and Other Manual Workers. (Regulation of Employment and Welfare) Act, 1969.
- The Industrial Disputes Act, 1947.
- The Bombay Opium Smoking Act, 1936.
- The Bombay Prohibition Act, 1938.
- The Employment of Children Act, 1938.
- The Motor Vehicles Act, 1988 along with GSRM.728-E dated 18/10/96.
- The hours of Employment Regulations.

➤ Wherever any License/Permission from or Registration with Local or State or Central Authorities is required under the above Acts, / Law or any other Laws Governing the work contracted for, the Bidder/Service Provider shall at his own cost arrange for such License/ Permission/Registration. He shall also be liable for producing for inspection such certificates and licenses, as may be required by the Local / State / Central Authorities or AMNSIL as and when required. The Service Provider shall pay all levies, fees, taxes, duties, deposits, tolls, royalty, commissions and charges etc. to appropriate authorities and other bodies its required by them under their rules for handling equipment, vehicles/ trailers,

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employees or workers engaged by him. No claim for reimbursement, made against AMNSIL by Service Provider shall be entertained by AMNSIL.

➤ The Bidder /Service Provider shall fully indemnify AMNSIL against all the payments, claims, losses and liabilities whatsoever incidental or direct arising out of or for compliance with or enforcement of the provisions of any of their workforce / personnel or other laws to the extent they are applicable to the transport activity & allied activities as outlined in this tender document.

➤ The Bidder / service provider shall be construed as the sole employer of the personnel engaged by him for the fulfillment of his obligations under this agreement and nothing will be construed as responsibility of the Purchaser / AMNSIL towards any of Bidder / service provider's employees, either by way of claims for wages, salaries and/or any statutory dues, whatsoever in relation thereto.

➤ The Bidder / service provider shall be solely responsible for the proper and timely compliance of all laws, rules and regulations in force from time to time and the Purchaser / AMNSIL shall in no way be responsible for any non-compliance of any of the statutes by the Bidder / service provider.

➤ The Bidder / service provider shall be an independent entity and the employees employed by the Bidder / service provider shall be in the employment of the Bidder / service provider only and not of the Purchaser / AMNSIL and the bidder / service provider shall be solely responsible for all acts of commission or omission of its employees.

➤ The employees as may be provided, appointed or selected by the Bidder / service provider for the purpose of carrying out his obligations under this Agreement shall work solely under the control and supervision of the Bidder / service provider only and the Purchaser / AMNSIL shall not in any way or in any manner be in control of or supervise the work of the employees of the Bidder / service provider or be in any way responsible for control or supervision of the employees of the Bidder / service provider. It shall be the duty of the Bidder / service provider to appoint or nominate such employees as he thinks fit to carry out his obligations arising out of and from this Agreement.

➤ The Purchaser / AMNSIL shall have no liability whatsoever for any injury or death caused to the Bidder / service provider's employees, agents or representatives while carrying out his obligations under the agreement either at the Purchaser / AMNSIL's premises or within the Port premises or while providing the service anywhere else and including, without limitation of liability for any damages suffered which result from the malfunction of any equipment or otherwise. In no event shall the Purchaser / AMNSIL be liable for any indirect, special or consequential damages which may arise under This Agreement.

➤ The bidder / service provider will at all times indemnify the Purchaser / AMNSIL against any claim which could arise under The Workmen's Compensation Act 1923 and / or under any similar statutory enactment thereof or otherwise in respect of any damages or compensation or compensation in consequence of any accident, injury sustained to any of Bidder / service provider men or other persons whose entry into the premises has been authorized by the bidder / service provider. Subject to the provision of the ESI Act, the bidder / service provider shall insure all the men engaged under this agreement under the Workmen's Compensation policy and such valid policy shall be produced to the Purchaser / AMNSIL on demand and a copy of the policy certified by the bidder / service provider shall be deposited with the Purchaser / AMNSIL.

➤ The bidder / service provider agrees to bear and pay for all liabilities like salaries, wages and other statutory obligations in respect of the persons engaged by the bidder / service provider during the period of this agreement. In the event of non compliance with the above enactment's, or the provisions thereof referred to the above it shall be open to the Purchaser / AMNSIL to withhold such amount as in its opinion is due and payable by the bidder / service provider in respect of its employees from and out of dues, payable by the Purchaser / AMNSIL to the bidder / service provider and such due shall be held by the Purchaser / AMNSIL with it until proof is submitted by the bidder / service provider to the satisfaction of the Purchaser / AMNSIL indicating compliance with such enactment's within reasonable time, failing which the Purchaser / AMNSIL shall deposit such amounts with the authorities concerned and inform the bidder / service provider of such deposit.

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➤ All materials shall be considered to be in possession of the bidder / service provider and in his care and custody, at his risk and responsibility from the moment these have been delivered to him or his representative until such time as the materials have been carried to and received in writing in the same condition, as delivered to the bidder / service provider, by an authorized representative of the purchaser / AMNSIL at the destination.

➤ The bidder / service provider shall make arrangement to carry and convey the materials at his own risk and responsibility and shall indemnify the loss/damage to the purchaser / AMNSIL against all claims arising from death or injury to any person or property caused through any of the motor vehicles or trailers or mechanical appliances and also against any damage or loss to the materials entrusted to him by the purchaser / AMNSIL. The damage and/or loss to the purchaser / AMNSIL as assessed by the purchaser / AMNSIL shall be final and binding on the bidder / service provider.

➤ The bidder / service provider will name and post a responsible representative round the clock to co-ordinate all operations governed by the contract for supervising the operations. He should have the required knowledge and experience of coordinating and handling of such jobs and should possess permit license for carrying out the required operations. Further, he should provide his representative with appropriate mode of conveyance and communication to enable him to commute as per requirements so that there are no delays in discharge of the contractual obligations.

➤ However AMNSIL reserves the right to offer all the items covered in the scope of work to one bidder / service provider or to offer specific items to different bidder / service providers or reject all the offers without assigning any reasons and to carry out all or part of the scope of work departmentally.

➤ The bidder whose tender is not accepted shall not be entitled to claim any costs, expenses of and incidental to or incurred by him through or in connection with submission of tenders even if the purchaser / AMNSIL may elect to withdraw the invitation to tender.

LEGAL INTERPRETATION:

➤ The order shall be governed by the laws of India for the time being in force and as may be amended from time to time.

➤ The legal jurisdiction relating to the contract shall be with the honorable High court of Gujarat.

DEFAULT AND TERMINATION

➤ Service Provider Events of Default.

Notwithstanding any other provision of this Agreement which may, upon the occurrence of certain events, give rise to Purchaser's right to immediately terminate this Agreement, each of the following events, acts, occurrences or conditions shall constitute a "Service provider Event of Default," regardless of whether such event, act, occurrence or condition is voluntary or involuntary or results from the operation of law or pursuant to or as a result of compliance by any Person with any judgment, decree, order, rule or regulation of any court or other Governmental Instrumentality:

(a) Service provider fails to pay any amounts required to be paid to Purchaser under this Agreement and such failure continues for thirty (30) days following Purchaser's written demand that such payment be made.

(b) Any representation or warranty made by Service provider shall prove to be false or misleading in any material respect and shall have a material adverse effect on Service provider's ability to perform its obligations hereunder.

(c) Service provider breaches or fails to perform any of its material covenants or obligations under this Agreement (other than any such breach referred to elsewhere in this and such breach or failure is not remedied within thirty (30) days after notice from Purchaser to Service Provider stating that such breach or failure has occurred, identifying the breach or failure in question in reasonable detail and demanding the remedy thereof (the "Initial Cure Period"); provided, however, if (i) the Initial Cure Period is not reasonably sufficient to cure such breach or failure to perform, (ii) the Service Provider shall have commenced to cure such failure within the Initial Cure Period and (iii) the Service Provider shall continuously and diligently pursue the cure of such breach or failure, such

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breach or failure shall not constitute a Service Provider Event of Default unless it is not remedied within one hundred and twenty (120) days after the commencement of the Initial Cure Period.

(d) Service Provider fails to comply with any decision or award of an arbitrator within thirty (30) days of such decision or award becoming binding and due.

(e) The passing of a resolution for the bankruptcy, insolvency, winding up, liquidation of, or other similar proceeding relating to Service provider;

(f) A Service Provider Failure of Delivery shall occur for reasons other than an Event of Force Majeure affecting Service Provider

➤ **Exercise of Remedies Following a Service Provider Event of Default.** Notwithstanding any other provision of this Agreement which may, upon the occurrence of certain events, give rise to Purchaser's right to immediately terminate this Agreement, upon the occurrence of a Service Provider Event of Default, Purchaser may, in addition to any remedies or rights of Purchaser under applicable law, exercise any one or more of the following remedies, so long as such Service Provider Event of Default is continuing:

- (a) Purchaser may acquire services from Persons other than Service Provider and may permanently or temporarily reduce Purchaser's obligations to avail services under this Agreement.
- (b) Purchaser may, following the occurrence of a Service Provider Event of Default terminate this Agreement by providing written notice of such termination to Service Provider.
- (c) Purchaser may, following the occurrence of any Service Provider Event of Default (other than a Service Provider Event of Default referred terminate this Agreement by providing at least thirty (30) days' prior written notice of such termination to Service provider, which notice shall identify with specificity the Service Provider Event of Default giving rise to such notice of termination and the date of such termination; provided that such termination shall not occur if Service Provider cures or remedies such Service Provider Event of Default prior to the date specified in such notice as the date of such termination.

WAIVERS AND REMEDIES

➤ **Rights Not Waived.** The failure of any Party to insist in any one or more instances upon strict performance of any of the provisions of this Agreement, or to take advantage of any of its rights under this Agreement, shall not be construed as a waiver of any such provisions or the relinquishment of any such rights, but the same shall continue and remain in full force and effect.

➤ **Limitation of Liability.** Neither Service Provider nor Purchaser shall be liable for any special, incidental or consequential damages, including, but without limitation, lost revenues, or profits arising out of or in connection with the performance or non-performance of this Agreement.

RISK PURCHASE:

➤ The cancellation of order as stated in the above Default clause may be either for whole or part of the order at AMNSIL's option. However, before such cancellation AMNSIL shall give four week notice to the Service Provider for taking corrective action and in case necessary corrective action is not taken by the Service Provider to AMNSIL's satisfaction within the said period of four week, AMNSIL shall be at liberty to terminate the order in part or whole and he may procure, upon such terms and in such manner as he deems appropriate, services similar to those so terminated and the Service Provider shall be liable to AMNSIL for any losses, excess costs for such/similar services provided that the Service Provider should continue the performance of the order to the extent not terminated under the provisions of this clause. If in the opinion of AMNSIL, the Service Provider shall not be able to cure the default even after notice, such notice shall not be necessary and AMNSIL may terminate the order at the risk and cost of the Service Provider.

DISPUTES:

➤ **MUTUAL DISCUSSION.** Except as otherwise provided in this Agreement, if any dispute or difference of any kind whatsoever (a "Dispute") shall arise between Purchaser and Service Provider in connection with, or arising out of, or relating to this Agreement or the breach, termination or validity hereof, Purchaser and Service Provider shall attempt in good faith, for a period of thirty (30) days after the receipt by one Party of a notice from the other Party of the existence of the Dispute, to settle such Dispute in the first instance by mutual discussions between the Parties.

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➤ ARBITRATION

a) If the Dispute cannot be settled within Sixty (60) days by mutual discussions, the arbitration will be carried out in accordance with the provisions of Indian Arbitration and Conciliation Act, 1996 read with its amendments from time to time. Each of Purchaser and Service Provider undertake to implement the arbitration award. The place of the arbitration shall be Surat. The language of the arbitration shall be English. There shall be three arbitrators. Each Party shall select one arbitrator within 30 days after giving or receiving the demand for arbitration. Such arbitrators shall be freely selected, and the Parties shall not be limited in their selection to any prescribed list. The two arbitrators selected by the Parties shall select the third arbitrator. If a Party does not appoint an arbitrator who has consented to participate within 30 days after the selection of the first arbitrator, the relevant appointment shall be made by the provisions of Indian Arbitration and Conciliation Act, 1996.

b) The award rendered shall be in writing and shall set forth in reasonable detail the facts of the Dispute and the reasons for the arbitrators' decision.

c) The award rendered in any arbitration commenced hereunder shall be final and binding on the Parties and judgment thereon may be entered in any court having jurisdiction for its enforcement. Each of Purchaser and Service Provider hereby renounces its right to appeal from the decision of the arbitrators and agrees that neither Party shall appeal to any court from the decision of the arbitrators. In addition, the Parties agree that neither Purchaser nor Service Provider shall have any right to commence or maintain any suit or legal proceeding concerning a Dispute hereunder until the Dispute has been determined in accordance with the arbitration procedure provided for herein and then only to enforce or facilitate the execution of the award rendered in such arbitration.

➤ **Continuation of Obligations.** Work under the contract will be continued by Service Provider during the arbitration proceedings, unless otherwise directed in writing by us.

FORCE MAJEURE:

➤ **Events of Force Majeure.** An "Event of Force Majeure" generally shall mean all circumstances beyond

the reasonable control of the Party affected only if and to the extent that (i) such event is not within the reasonable control, directly or indirectly, of the Party affected, (ii) such event, despite the exercise of reasonable diligence, cannot be or be caused to be prevented, avoided or removed by such Party, (iii) the Party affected has taken all reasonable precautions, due care and reasonable alternative measures in order to avoid the effect of such event on the Party's ability to perform its obligations under this Agreement and to mitigate the consequences therefore, (iv) such event is not the direct or indirect result of a Party's negligence or the failure of such Party to perform any of its obligations under this Agreement, and (v) such Party has given the other Party prompt notice describing such event, the effect thereof and the actions being taken to ensure resumption of normal performance under this Agreement after the termination of the Force Majeure and the actions being taken.

➤ **Instances of Force Majeure.** Subject to the provisions, Events of Force Majeure shall include, but not be limited to :

a) acts of God, war or the public enemy whether declared or not, public disorders, civil disturbance, insurrection, rebellion, sabotage, riots, violent demonstrations, blockade, revolution, expropriation, requisition, confiscation, nationalization, export or import restriction or other restrictions, rationing or allocations imposed by any Governmental Instrumentality;

b) any effect of unusual natural elements, including fire, volcanic eruption, landslide, earthquakes, floods, lightning, typhoons, tsunami, perils of sea, or other unusual natural calamities;

c) Embargoes of or at the mine, loading facilities, road transport, river transport or port facilities other than such breakdowns, embargoes or delays caused or resulting from willful act or omission by or on the part of such party in the conduct or management of its business;

d) explosion, accident or fire;

e) strikes or lockouts or other collective or industrial action by Customs / Port authorities / Truck owners

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- f) accidents of navigation or breakdown or injury of vessels, accidents to harbors, docks, canals or other assistance to or adjuncts of shipping or navigation whether river or otherwise, epidemic or quarantine;
- g) radioactive contamination or ionizing radiation;
- h) air crash, shipwreck, train wrecks or failures or delays of transportation;
- i) any action or failure to act without justifiable cause by any Governmental Instrumentality of India;
- j) the adoption, enactment or application to the Purchaser or the Service Provider of any Legal Requirement of any Governmental Instrumentality of India (i) relating to the environment or (ii) not existing or not applicable to the Purchaser or the Service Provider on the date of this Agreement, or any change in such Legal Requirement or the application or interpretation thereof by a Governmental Instrumentality of India after the date of this Agreement, but not including any such Legal Requirement or interpretation or application thereof in existence at such date which by its terms became or will become effective and applicable to the Purchaser or the Service Provider after such date;

➤ **Effect of Force Majeure.**

- a) Except as provided in below, Service Provider shall not be liable to Purchaser, and Purchaser shall not be liable to Service provider, for any failure or delay in performing its respective obligations to the extent such failure is caused by an Event of Force Majeure.
- b) Purchaser shall have the right to avail services from another source during any period of an Event of Force Majeure declared by Service Provider and Service Provider shall have the right to provide services to other parties during any period of an Event of Force Majeure declared by Purchaser. Service Provider shall use its best endeavours to assist Purchaser in availing services from other service providers acceptable to Purchaser. Each of Service Provider and Purchaser shall have the right to terminate this Agreement without penalty if the other party claims an Event of Force Majeure for a period in excess of twelve continuous months.

➤ **Notice of Force Majeure.** As soon as possible, following the date of commencement of any Event of Force Majeure, if either Party desires to invoke such Event of Force Majeure as a cause for delay in the

performance of any obligation hereunder, it shall advise the other Party in writing of such date and the nature and expected duration of such Event of Force Majeure. As soon as possible and in any event within 24 hours following the termination of such Event of Force Majeure, the Party having invoked such Event of Force Majeure as a cause for such delay shall submit to the other Party reasonable proof of the nature of such delay and its effect upon the time of performance. Following an Event of Force Majeure the Parties:

- a) shall make all reasonable efforts to prevent and reduce to a minimum and mitigate the effect of any delay or cost increase occasioned by any Event of Force Majeure including, without limitation, recourse by the Parties to alternate acceptable sources of Material, services, equipment, materials, vessels and mining equipment; and
- b) shall make all reasonable efforts to ensure resumption of normal performance of this Agreement after the termination of any Event of Force Majeure and shall perform their obligations to the maximum extent practicable as agreed between the Parties.

REPRESENTATIONS AND WARRANTIES

➤ **Representations and Warranties of Purchaser.**
Purchaser represents and warrants as follows:

- a) Purchaser is a limited liability purchaser / AMNSIL duly organized and validly existing under the laws of India and has all requisite legal power and authority to execute this Agreement and to carry out the terms, conditions and provisions hereof,
- b) All Consents and all legislative, administrative and other governmental action required to authorize the execution, delivery and performance by Purchaser of this Agreement and the transactions contemplated hereby have been taken or obtained and are in full force and effect except to the extent of such actions which by the terms hereof are to be taken at a later time;
- c) The execution, delivery and performance by Purchaser of this Agreement does not conflict with the terms of any Legal Requirements of any Governmental Instrumentality applicable to Purchaser;

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d) This Agreement constitutes or will constitute, when duly executed and delivered, the legal, valid and binding obligation of Purchaser, enforceable in accordance with the terms hereof except as the enforceability hereof may be limited by applicable bankruptcy, insolvency, reorganization, moratorium or other similar laws affecting creditors' rights generally;

e) There are no actions, suits or proceedings pending, or to Purchaser's best knowledge, threatened, against or affecting Purchaser before any court or administrative body or arbitral tribunal that could reasonably be expected to materially adversely affect the ability of Purchaser to meet and carry out its obligations under this Agreement;

f) The execution, delivery and performance by Purchaser of this Agreement has been duly authorized by all requisite partnership action, and will not contravene any provision of, or constitute a default under, any other agreement or instrument to which it is a party or by which it or its property may be bound.

➤ **Representations and Warranties of Service Provider.** Service Provider represents and warrants as follows:

a) Service Provider is a limited liability service provider duly organized and validly existing under the laws of land (Country of incorporation) and has all requisite legal power and authority to execute this Agreement and to carry out the terms, conditions and provisions hereof,

b) All Consents and all legislative, administrative and other governmental action required to authorize the execution, delivery and performance by Service Provider of this Agreement and the transactions contemplated hereby have been taken or obtained and are in full force and effect except to the extent of such actions which by the terms hereof are to be taken at a later time;

c) The execution, delivery and performance by Service Provider of this Agreement do not conflict with the terms of any Legal Requirements of any Governmental Instrumentality applicable to Service provider;

d) This Agreement constitutes, or will constitute, when duly executed and delivered, the legal, valid and binding obligation of Service provider, enforceable in accordance with the terms hereof except as the enforceability hereof

may be limited by applicable bankruptcy, insolvency, reorganization, moratorium or other similar laws affecting creditors' rights generally;

e) There are no actions, suits or proceedings pending, or to Service provider's best knowledge, threatened, against or affecting Service Provider before any court or administrative body or arbitral tribunal that could reasonably be expected to materially adversely affect the ability of Service Provider to meet and carry out its obligations under this Agreement;

f) The execution, delivery and performance by Service Provider of this Agreement has been duly authorized by all requisite corporate action, and will not contravene any provision of, or constitute a default under, any other agreement or instrument to which it is a party or by which it or its property may be bound;

SERVICE PROVIDER COVENANTS

Service Provider hereby covenants and agrees as follows:

➤ **Prompt Notice.** Service Provider shall promptly notify Purchaser of any failure by Service Provider to comply in all material respects with this Agreement.

➤ **Notice.** Any notice or other communication to be given hereunder shall be in writing and shall be sufficiently given if delivered by registered mail or hand delivered against written receipt or if transmitted and clearly received by facsimile transmission addressed as set forth below or sent to such other person by registered mail, courier, or hand delivery to such other address as either Party may designate for itself by notice. Any such notice shall be effective only upon actual delivery or receipt thereof. All notices given by facsimile shall be confirmed in writing delivered or sent as aforesaid, but the failure to so confirm shall not vitiate the original notice. The addresses for service of notices on Parties, and their respective telephone and facsimile numbers are:

i. In the case of Service provider, to: Details to be provided at the time of ordering

ii. In the case of Purchaser, to: Details to be provided at the time of ordering

➤ **Assignment by Service Provider.** Service Provider shall not, without the prior written consent of Purchaser, assign, charge, mortgage or otherwise encumber any of

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its rights or obligations under this Agreement to any Person, except that Service Provider may assign, charge, mortgage or encumber Service provider's right to receive payments under this Agreement for the benefit of financiers providing financial accommodation to or for the benefit of Service Provider as collateral security for such financial accommodation, provided however that the Service Provider shall remain responsible for the performance of this Agreement. Service Provider shall immediately notify Purchaser, in writing, of the enforcement by a financier, whether in whole or in part, of any such assignment, charge, mortgage, pledge or encumbrance.

➤ Assignment by Purchaser. Purchaser shall not without the prior written consent of Service provider, which shall not be unreasonably withheld, assign, charge, mortgage or otherwise encumber any of its rights or obligations under this Agreement to any Person. However, this condition shall not be applicable if:

a) the Purchaser decides to assign this Agreement in favor of Banks and Financial Institutions financing the Purchaser for its business operations and

b) the assignment is in favor of Affiliate of the Purchaser (any entity which is directly controlled by Purchaser, or which directly controls Purchaser, or which is under common control with Purchaser).

SEVERABILITY

In the event that any of the provisions, or portions or applications thereof, of this Agreement are held to be unenforceable or invalid by any court of competent jurisdiction, Purchaser and Service Provider shall negotiate an equitable adjustment in the provisions of this Agreement with

a view toward effecting the purpose of this Agreement, and the validity and enforceability of the remaining provisions, or portions or applications thereof, shall not be affected thereby.

CONFIDENTIALITY AND PUBLICITY

Any Drawing, Designs, Technical data, orders, etc. provided by us to Service Provider are to be treated as confidential and shall be used only for the purpose of the performance of the Agreement and shall not be reproduced in whole or in part for any other purpose. They shall be returned to us immediately after completion of work/on demand. Service Provider shall not part with any of the information / documents to any third party without the express written consent of our authorised representative.

Service Provider shall not part with any of the information / documents to any third party without the express written consent of our authorised representative. Service Provider shall use their best endeavor to ensure that such information is not divulged to any third party except where necessary for the purpose of the performance of the Agreement and, in such cases, subject to third parties in question undertaking similar obligations of confidentiality. This obligations does not apply to information which at the time of disclosure is in public domain/knowledge.

Yours faithfully,
Mahesh Salunke – Head, Procurement
ArcelorMittal Nippon Steel India Ltd.(AMNSIL)
Gate No.740, Sanaswadi, Pune – Nagar,
Pune – 412208, Maharashtra, India.

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EXPRESSION OF INTEREST FOR BIDDING TOWARDS TENDER

(To be filled by respective enterprise/firm/corporation who has not provided service of similar nature and for site visit. To be forwarded by e-mail to commercial contact)
(Strictly for private use only)

To

Mahesh Salunke
ArcelorMittal Nippon Steel India Ltd.
Gate No.740, Sanaswadi, Pune – Nagar,
Pune – 412208, Maharashtra, India

Dear Sir,

Sub: Expression of interest

We, _____
_____ (Name of the enterprises/firm/corporation &
Address) is interested in submitting tender for the service & management contract as mentioned in

Tender Ref No. : _____

Service Details : _____

1. We have been associated with similar scope of service in past with (Enclose non confidential backup documents as proof / certification by chartered Accountant /Bank as proof)

Party Name

Duration/Year

2. Our regional contact details and team member details as per tender document is enclosed herewith.
3. We hereby confirm,
 - Information shared by AMNSIL towards the services will not be made accessible or handed over to persons not employed in the bidder's plant or to third persons.
 - Not to share any information with any other company / enterprises / firm / corporation/agency without written consent from AMNSIL.
 - To take all imaginable measures required to comply with obligations of secrecy.
 - In case of any violation, we understand that AMNSIL can take action including but not limited to penalty, legal action, rejection of tender etc.

Yours's faithfully